

Skeena Resources

Blockbuster grades at Snip after C\$57.5m raise to fund exploration and development of Eskay Creek

Skeena Resources (“SKE”) earlier this week closed its previously announced bought deal public offering, issuing a total of 18,548,388 common shares at a price of C\$3.10/sh for gross proceeds of C\$57.5m. Proceeds will be used to fund exploration and development activities at Eskay Creek and Snip, where recent drilling has intersected an exceptional 155.76 g/t gold over 3.22 m. We view this as another successful step in a busy 2021 as the project takes shape. High-grade intercepts from new mineralised corridors at Eskay Creek, previously thought of as waste material, could offer further ounces and lower the strip ratio of operations. Based on the current PFS and DFS timelines, we expect first production from Eskay Creek in 2024. Adjusting our DCF-based sum-of-the-parts for the fundraise and updated share count, we cut our target for SKE by 6% to C\$6.16/sh, implying 85% upside from the current price.

New mineralised corridor at Eskay Creek in Gap Zone

SKE has reported the results from its recent exploratory program focused on testing in-pit and near mine targets. Intersections confirm the presence of high-grade material, albeit lower than blockbuster grades within the established footprint, that could support expansion of the pit and subsequently a lower strip ratio within areas previously thought of as waste rock. Particular encouraging results were returned from an undrilled corridor 300m x 75m between the 21A and 21B Zones. Intersections within the Contact Mudstone include 8.2m at 3.99 g/t Au & 71 g/t Ag (4.94 g/t AuEq). The geological continuity of the Contact Mudstone, within a largely undrilled gap between 21A and 21B Zones and precluded from the Company’s 2021 MRE, bodes well for future updates.

Strong news flow as pieces come together; 155.76 g/t Au over 3.22m at Snip

SKE is making strong progress on all fronts which should continue on the back of the raise as Eskay Creek advances to feasibility and the project pipeline is bolstered by Snip and the QuestEx investment. Positive intercepts of up to ~155.76 g/t Au over 3.22m, including 376 g/t Au over 0.89m, from recent drilling below the Twin Zone at the Snip project highlight its future potential as a satellite source of high-grade feed to Eskay Creek, ~40km to the east. The Company’s latest MRE showed a 186% increase in Measured and Indicated ore tonnage and will feed into Skeena’s ongoing feasibility workstreams at Eskay Creek. The publication of a PFS is expected in Q3 and a full Feasibility Study by Q1’22. In addition, the acquisition of a 14% stake in QuestEx in its recent placing gives SKE an interest in several prospective land packages, including licences in the Red Chris district adjacent to the Saddle North project (recently acquired by Newmont from GT Gold for US\$311m), as well as potentially strategically important ground between Snip and Eskay Creek.

Target price – C\$6.16/sh implying 85% upside

Our SKE valuation is based on Measured and Indicated mineral inventories, a flat gold price of US\$1,950/oz and a silver price of US\$25/oz. In addition to our US\$1.89bn DCF of the Eskay Creek project, to which we apply a 0.7x multiple to reflect its pre-feasibility status, we assign a conservative C\$12.9m value to Snip. Based on the current PFS and DFS timelines, we expect first production from Eskay Creek in 2024. Our valuation continues to be based on a throughput capacity of 2.5Mtpa as envisaged in the 2019 PEA, although we see scope for this to be increased in the upcoming Feasibility Studies, further improving the economics of the project. We therefore remain positive on the outlook for SKE shares, with multiple upcoming catalysts in the next 12 months as permitting falls into place and positive Feasibility Studies are completed. Adjusting our DCF-based sum-of-the-parts for the fundraise and updated share count, we decrease our target price for SKE by 6% to C\$6.16/sh, implying 85% upside from the current price.

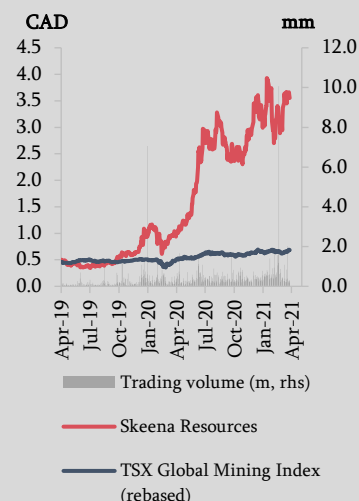
GICS Sector	Materials
Ticker	TSX : SKE
Market cap (C\$m, 21 May 21)	816
Share price (C\$, 21 May 21)	3.33
Target price (C\$, 25 Dec 21)	6.16

85%

Upside from current share price to C\$6.16/sh target price

C\$57.5m

Raised to advance Eskay Creek and Snip



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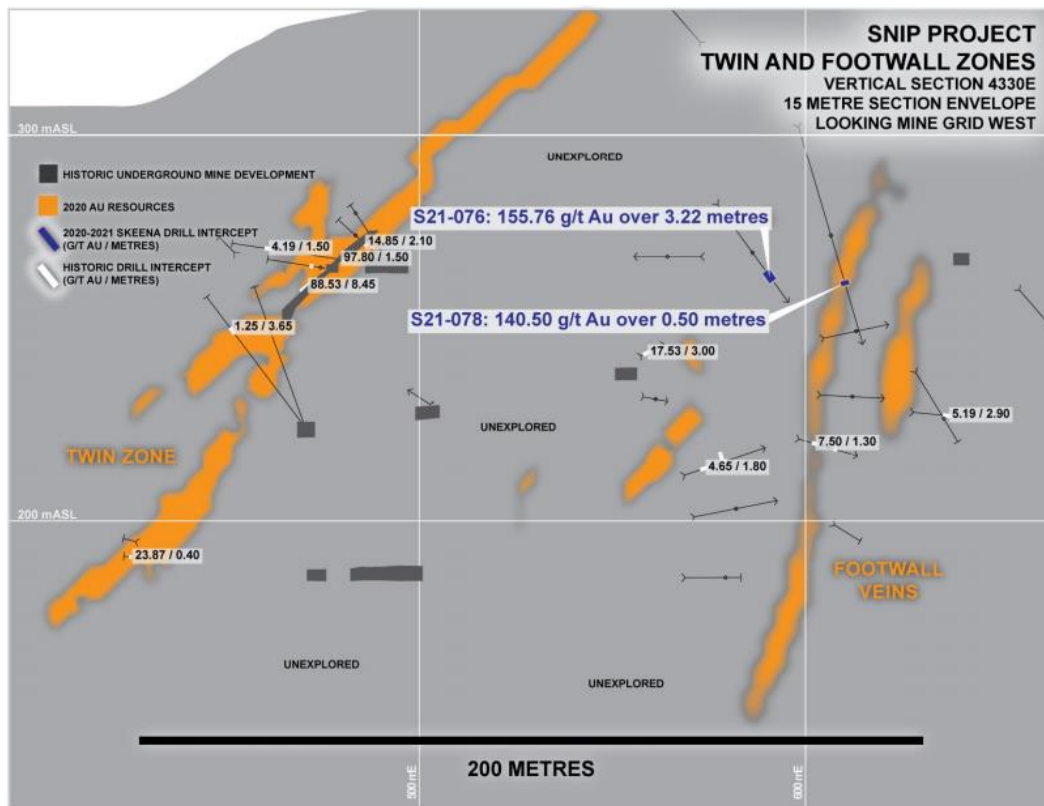
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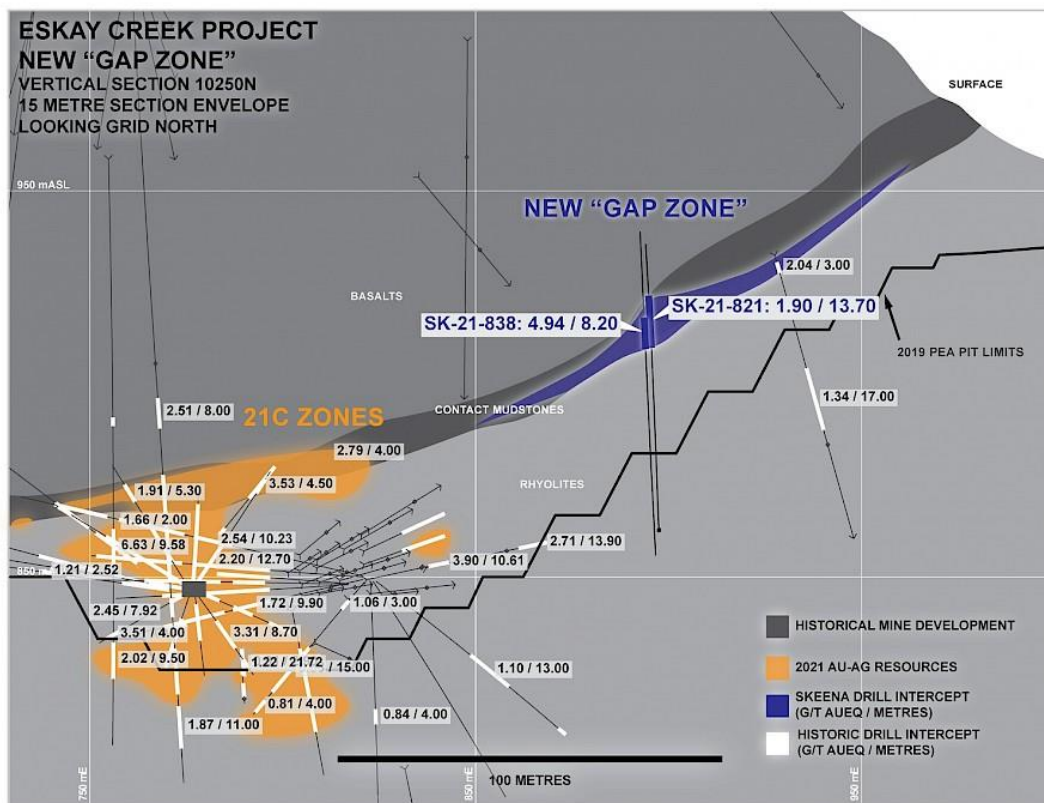
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Snip project Twin and Footwall Zones



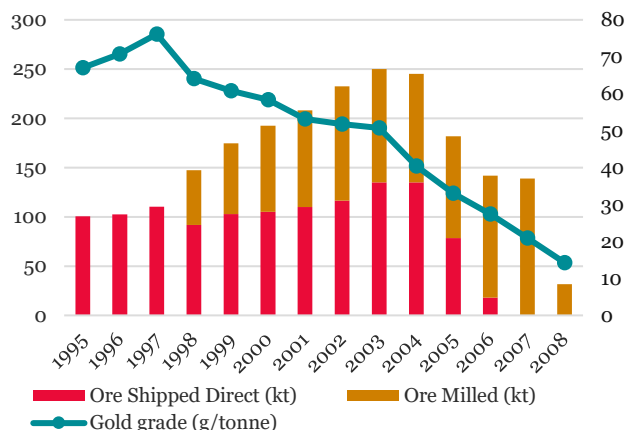
Eskay Creek - Gap Zone section



Source: Skeena Resources

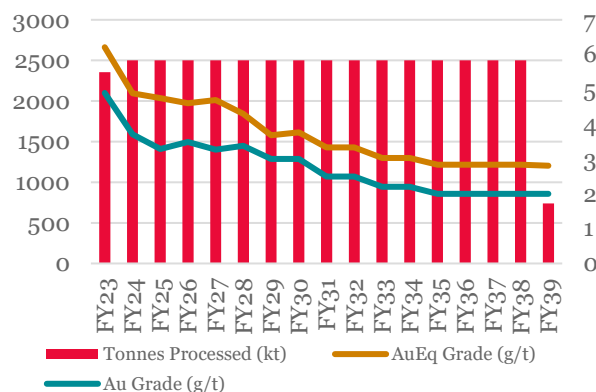
Eskay Creek – Key Charts

Eskay Creek historical u/g mine enjoyed phenomenal grades: throughput (kt, left) vs grade (g/t, right)



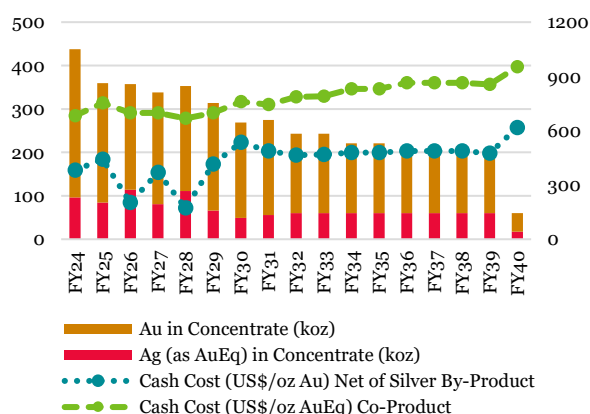
Source: Barrick Gold, Homestake Mining, Company reports.

Skeena's plan is significantly larger at 2.5Mtpa throughput & grades are amongst highest for an open-pit in N America



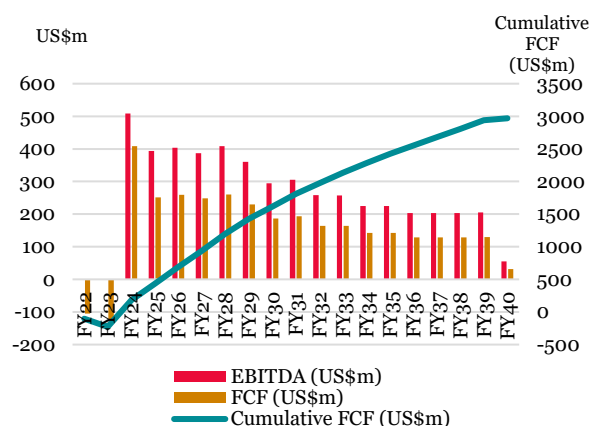
Source: Company reports, H&P estimates

Eskay Creek concentrate contained gold & silver (koz, left) and cash costs (US\$/oz, right)



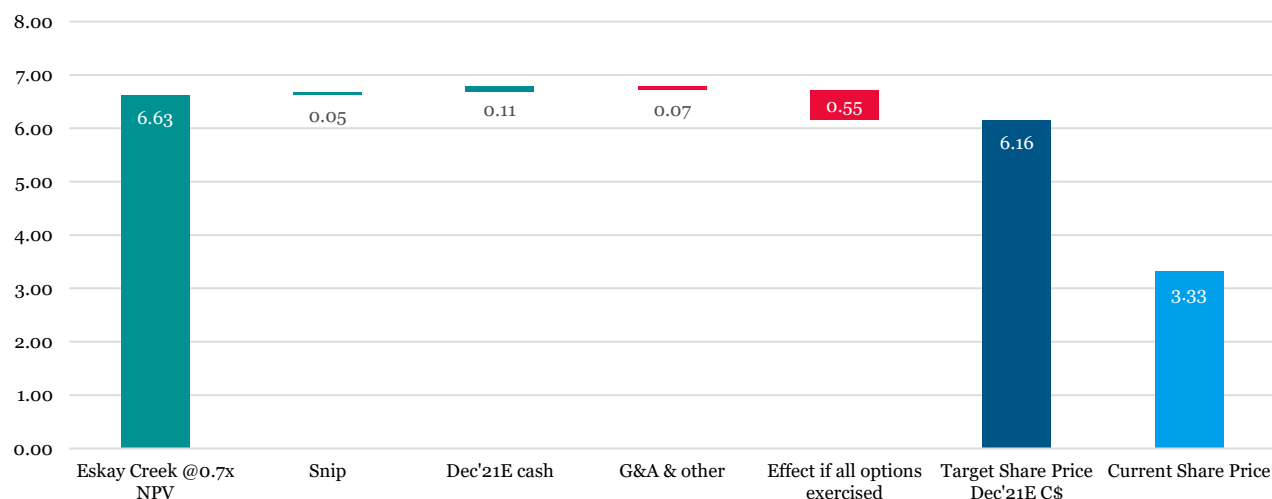
Source: Company reports, H&P estimates

H&Pe Eskay Creek EBITDA & FCF (left) & cumulative FCF (right) – strong initial grades drive short payback



Source: Company reports, H&P estimates

Eskay Creek's risked NPV provides huge potential per-share upside for Skeena with Dec'21 TP: C\$6.16



Source: Company reports, H&P estimates

Financial Statements Summary

Income statement						
Year end December		2020	2021E	2022E	2023E	2024E
Revenue	C\$m	-	-	-	-	762.8
Cost of Sales	C\$m	-	-	-	-	(121.5)
Depreciation	C\$m	(0.4)	-	-	-	(35.1)
Gross profit/(loss)	C\$m	-	-	-	-	641.3
Total operating costs	C\$m	(80.0)	(85.9)	(5.9)	(5.9)	(50.6)
Operating profit/(loss)	C\$m	(80.0)	(85.9)	(5.9)	(5.9)	590.7
Interest income	C\$m	0.4	0.5	0.3	0.4	3.5
Finance Costs	C\$m	-	-	-	-	-
FX gains/losses	C\$m	(0.0)	-	-	-	-
Other gains/(losses)	C\$m	19.3	-	-	-	-
Profit/(Loss) before tax	C\$m	(60.3)	(85.5)	(5.6)	(5.6)	594.1
Income tax (expense) / benefit	C\$m	-	-	-	-	(207.5)
Net profit/(loss)	C\$m	(60.3)	(85.5)	(5.6)	(5.6)	386.6
EBITDA	C\$m	(80.0)	-	-	-	627.0

Cash flow statement						
Year end December		2020	2021E	2022E	2023E	2024E
Profit/(loss) before tax	C\$m	(60.3)	(85.5)	(5.6)	(5.6)	594.1
Depreciation & amortisation	C\$m	0.6	-	-	-	35.1
Working capital change (increase)/decrease	C\$m	7.6	(4.9)	(4.3)	(3.0)	(67.0)
Tax (paid)/received	C\$m	-	-	-	-	(112.6)
Other non-cash expenditures	C\$m	(14.3)	0.0	0.0	-	-
CFO	C\$m	(66.4)	(90.4)	(9.9)	(8.5)	449.7
Additions to PPE	C\$m	7.5	-	(149.6)	(163.5)	(5.0)
Other	C\$m	(6.9)	(1.3)	(0.0)	(0.0)	(0.0)
CFI	C\$m	0.6	(1.3)	(149.6)	(163.6)	(5.0)
Minimum debt repayments	C\$m	-	-	-	-	-
Other movement in net debt	C\$m	-	-	-	-	-
New equity issued	C\$m	90.5	75.1	-	-	-
Other	C\$m	-	5.0	160.0	170.0	-
CFF	C\$m	90.5	80.1	160.0	170.0	-
Net change in cash	C\$m	24.6	(11.6)	0.5	(2.1)	444.7
FX impact on cash & equivalents	C\$m	-	-	-	-	-
Beginning cash & equivalents	C\$m	13.1	37.7	26.1	26.6	24.5
Ending cash & equivalents	C\$m	37.7	26.1	26.6	24.5	469.2

Balance sheet						
Year end December		2020	2021E	2022E	2023E	2024E
Cash	C\$m	37.8	26.1	26.6	24.5	469.2
Receivables	C\$m	2.8	2.2	2.2	2.2	62.5
Inventory	C\$m	-	-	-	-	10.0
Other	C\$m	1.1	0.6	0.8	0.8	0.7
Current Assets	C\$m	41.7	29.0	29.6	27.6	542.4
PPE	C\$m	15.4	15.4	165.0	328.5	298.4
Other	C\$m	80.8	80.8	80.8	80.8	80.8
Non Current Assets	C\$m	96.1	96.1	245.7	409.3	379.2
Payables	C\$m	19.8	13.8	9.7	6.8	10.0
Short Term Debt	C\$m	-	-	-	-	-
Other	C\$m	2.7	2.6	1.4	1.4	1.4
Current Liabilities	C\$m	22.4	16.5	11.0	8.1	11.3
Long term debt	C\$m	-	-	-	-	-
Other	C\$m	6.5	5.1	6.4	6.3	101.2
Non Current Liabilities	C\$m	6.5	5.1	6.4	6.3	101.2
Total Equity	C\$m	109.0	103.6	98.0	92.4	479.0
Other	C\$m	-	-	160.0	330.0	330.0

Source: Company reports, H&P estimates.

Operations and Valuations Summary

Ratios & other key items							
Year end December		2020	2021E	2022E	2023E	2024E	
Yr end shares issued	m	222.4	222.4	243.2	243.2	243.2	243.2
Revenue Growth	%	NA	NA	NA	NA	NA	NA
EBITDA margin	%	NA	NA	NA	NA	NA	82%
EBIT margin	%	NA	NA	NA	NA	NA	78%
Net cash/(debt)	C\$m	37.8	26.1	(133.4)	(305.5)		139.2
Net debt/equity	%	-35%	-25%	136%	331%		-29%
FCF	C\$m	(72.3)	(5.7)	(153.6)	(166.2)		360.9
FCF/share	C\$/sh	(0.3)	(0.0)	(0.6)	(0.7)		1.5
Capital employed	C\$m	115.42	108.66	104.33	98.73		580.27
EPS	C\$m	(27.12)	(38.43)	(2.30)	(2.29)		158.99
ROCE	%	-69%	-79%	-6%	-6%		102%
ROE	%	-55%	-83%	-6%	-6%		81%
EV/EBITDA	x	NA	NA	NA	NA		1.1
EV/Sales	x	NA	NA	NA	NA		0.9

Production volumes							
Year end December		2020	2021E	2022E	2023E	2024E	
Gold contained in concentrate	koz	-	-	-	-	-	341
Silver contained in concentrate	koz	-	-	-	-	-	7,507
Gold equivalent contained in concentrate	koz	-	-	-	-	-	437
Payable gold in concentrate	koz	-	-	-	-	-	324
Payable silver in concentrate	koz	-	-	-	-	-	6,006
Payable gold equivalent in concentrate	koz	-	-	-	-	-	401

Gold and Silver Price Assumptions							
Year end December		2020	2021E	2022E	2023E	2024E	
Gold Price	US\$/oz	1,789	1,950	1,950	1,950	1,950	1,950
Silver Price	US\$/tonne	16	25	25	25	25	25

Cash Costs							
Year end December		2020	2021E	2022E	2023E	2024E	
Cash costs/t Au product	US\$/oz	-	-	-	-	-	402
Total Cash Cost	US\$m	-	-	-	-	-	281
Cost of sales (P&L)	C\$m	-	-	-	-	-	(122)

Reserves & Resources (gold equivalent)				
	Eskay Creek	Snip	Total	
Reserves: (P,P)	koz	-	-	-
Resources (M&I)	koz	1,990	244	2,234
Resources: (Inferred)	koz	298	402	700

Market cap, net debt & enterprise value							
Year end December		2020	2021E	2022E	2023E	2024E	
Market Cap (Yr end)	C\$m	809.8	809.8	809.8	809.8	809.8	
Net Cash/(Debt)	C\$m	37.8	26.1	(133.4)	(305.5)		139.2
EV	C\$m	772.0	783.7	943.2	1,115.3		670.6

Valuation/ Price Target Derivation - Dec'21E				
Year end December		Value	Target Multiple	Target Value
Eskay Creek	C\$m	2,301.8	0.7	1,611.2
Snip	C\$m	12.1	1.0	12.1
Cash at Dec' 21E	C\$m	26.1		26.1
Environmental bond	C\$m	(5.2)		(5.2)
G&A	C\$m	(12.3)		(12.3)
Total Value	C\$m	2,322.6		1,632.0
Shares out - undiluted	m	243.2		243.2
NPV / Target Price per share - undiluted	C\$ cents	955		671
Cash inflow from options & warrants if exercised	C\$m	54.7		54.7
Shares issued if options & warrants exercised	m	30.5		30.5
NPV / Target Price per share - diluted	C\$ cents	868		616
Current share price	C\$ cents			333
Upside/downside from current share price	%			85%

Source: Company reports, H&P estimates.

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